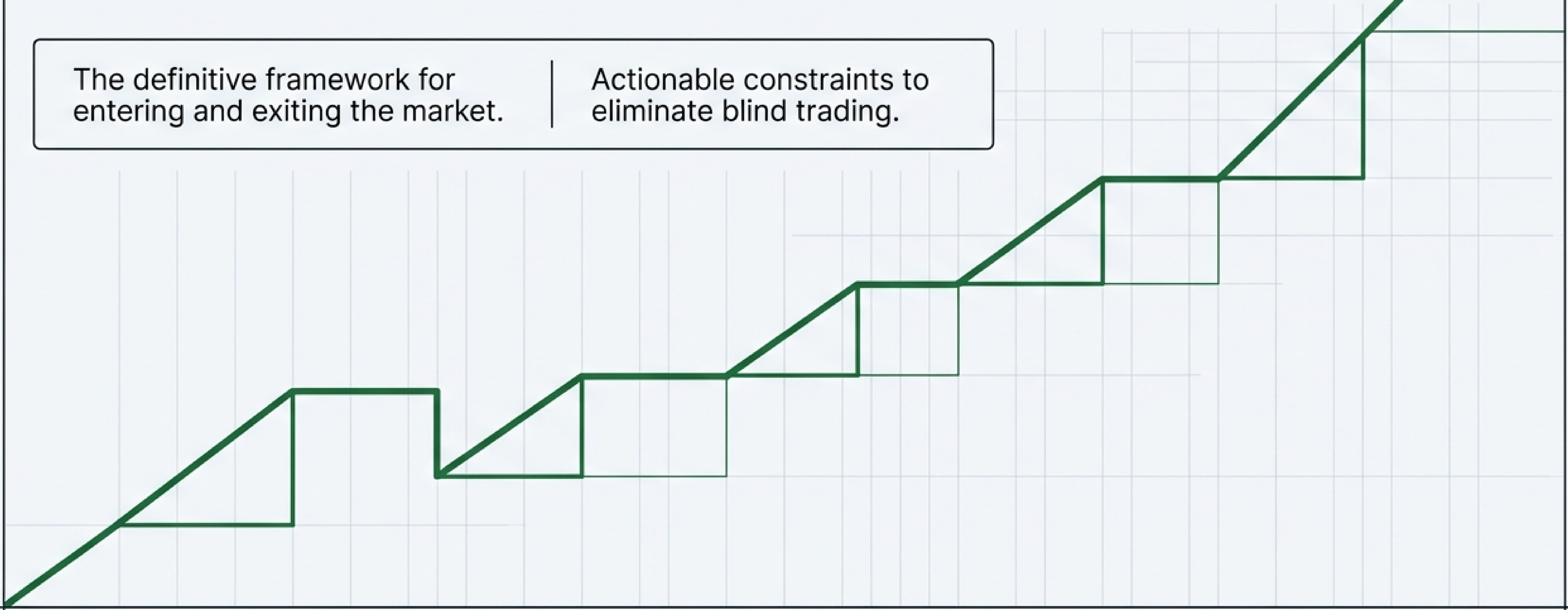
DAY 102

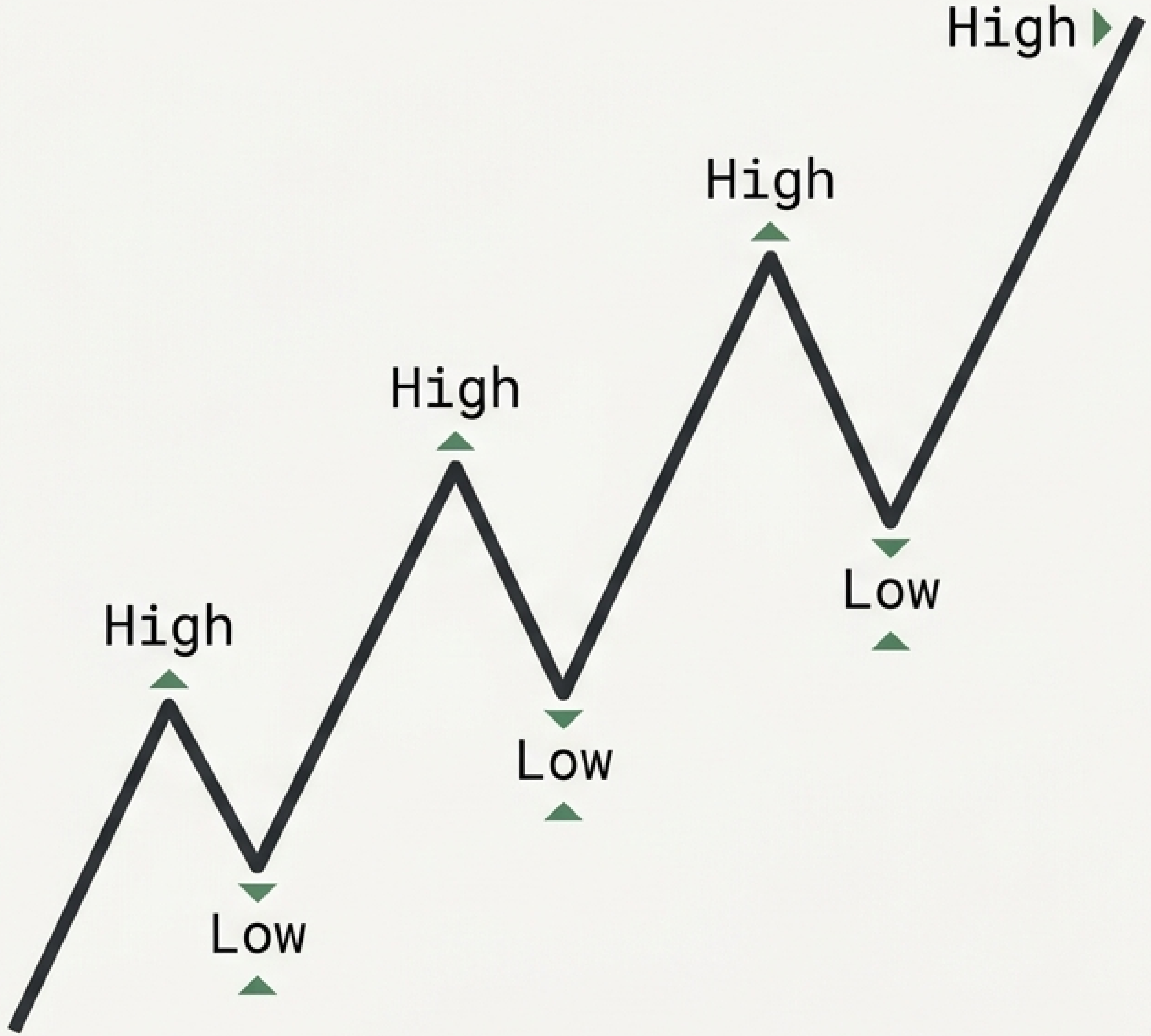
Market Structure Rules

The definitive framework for entering and exiting the market.

Actionable constraints to eliminate blind trading.



Price Moves in Structured Waves



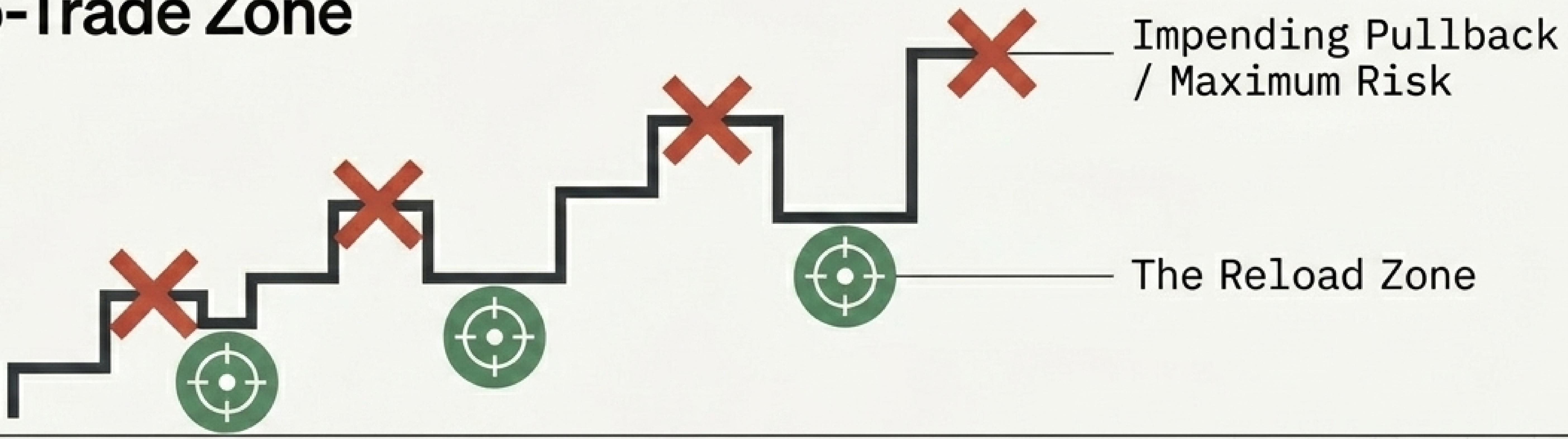
The market is not a straight line; it breathes in deliberate sequences of Highs and Lows.

Structure dictates direction; never execute a trade until the pattern clearly reveals itself.

Identifying the current wave prevents you from getting lost in the random noise of price action.

Rule #1: Never Buy a Higher High

The No-Trade Zone



A **new high** strictly indicates an **impending pullback**, not a buying opportunity.

Buying into established **resistance** guarantees **maximum exposure to risk.**

ACTION: **Wait for the market to retreat and form a** `Higher Low`**.**

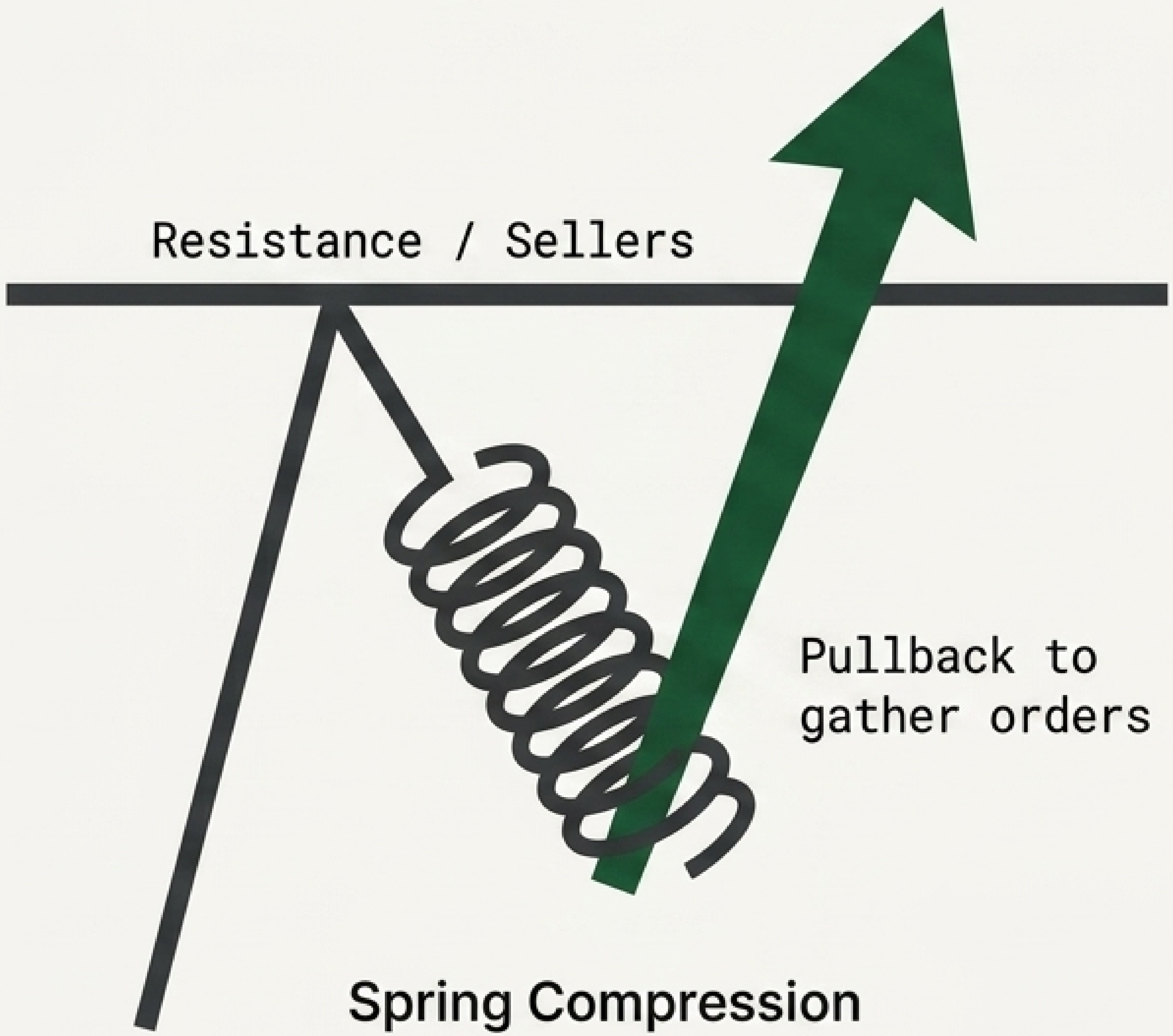
Rule #2: Never Sell a Lower Low

A new low signals that buyers are preparing to step in and offer support.

Selling at the absolute bottom traps your capital in the inevitable correction.

ACTION: Wait for the market to bounce and form a Lower High before executing a short.

The Mechanics of a Pullback



01	Markets retreat to collect resting orders (going back for more cash).
02	A pullback is not a reversal; it is the market mechanically reloading to break resistance.
03	Execute the trade solely at the reload point (Higher Low or Lower High).

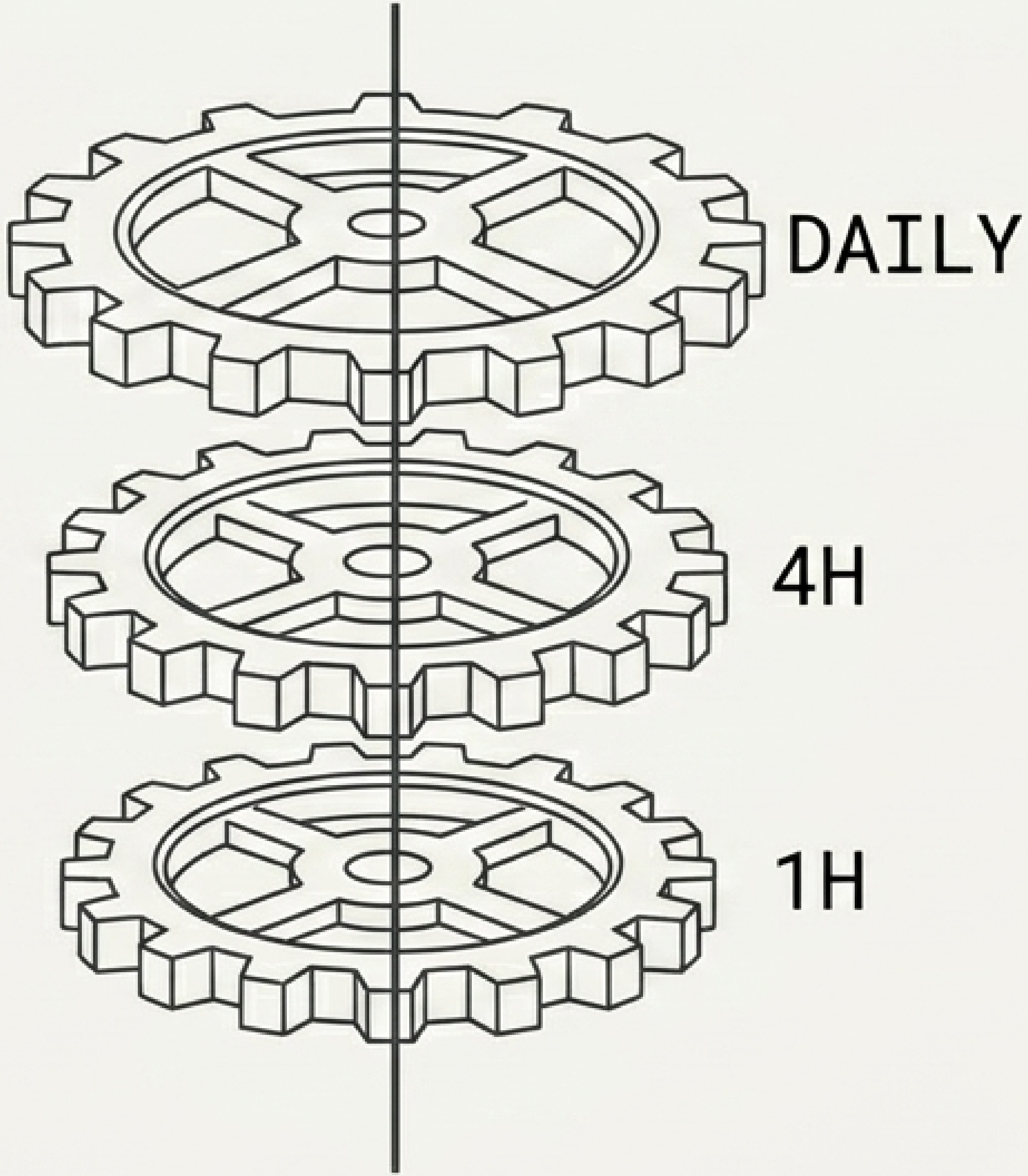
Rule #3: Require Time Frame Alignment

Price cannot move solo; it requires a unified "team" of buyers across multiple time frames.

A single time frame cannot dictate a sustainable trend if the layers above it contradict it.

Never execute an entry if the **macro trend actively fights the micro trend.**

The Synchronization Checklist



MACRO (Daily)	Determines the ultimate destination (but lags significantly).
MID (4-Hour)	Confirms the overarching structural trend.
MICRO (1-Hour)	Dictates the exact, immediate entry point (the pullback).

Note: Using 4H and 1H alignment is optimal for capturing 1 to 2 high-quality trades per week.

Value Drives Market Volume

VALUE → VOLUME → MOMENTUM

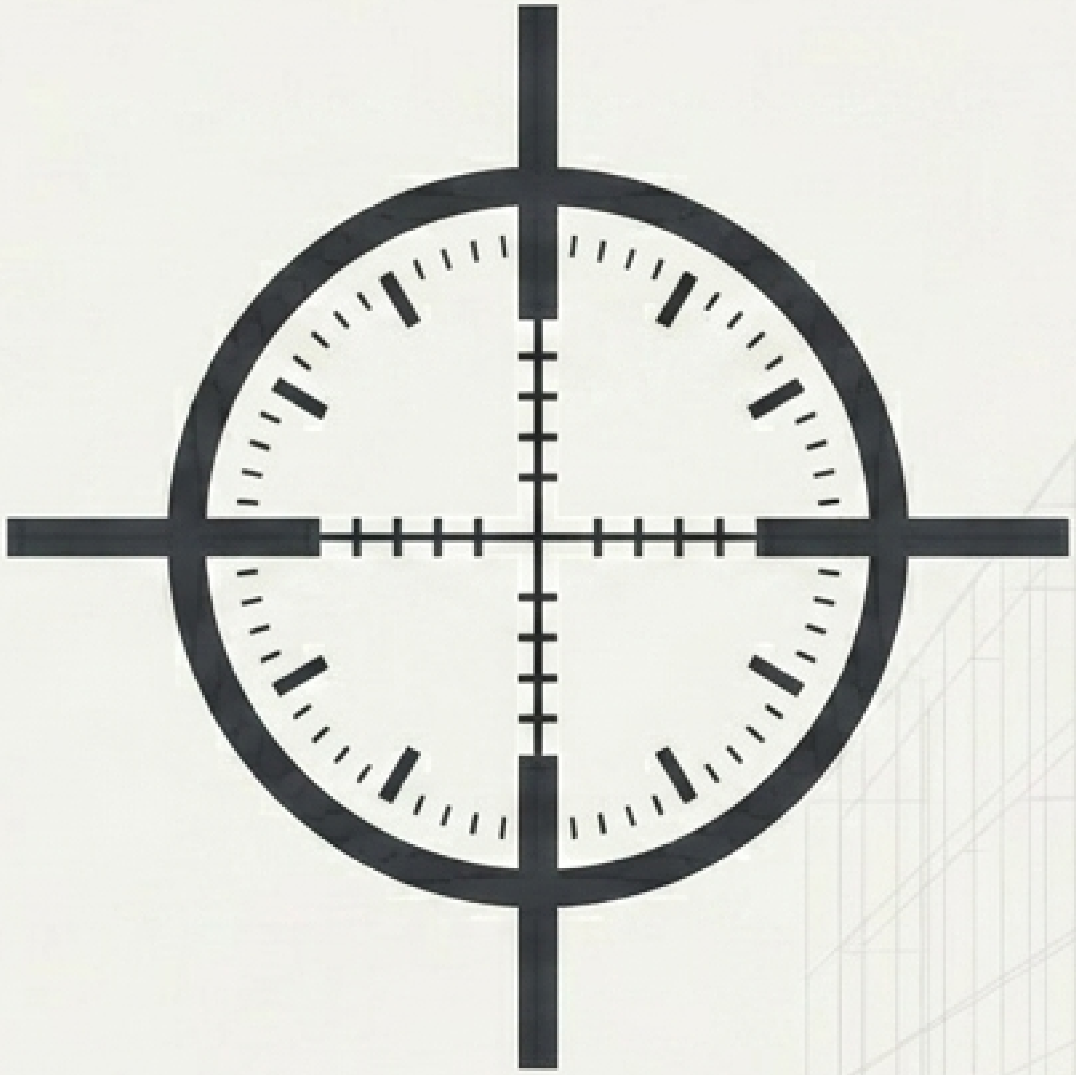
Everything in the market fundamentally wants to go up, but requires perceived value to do so.

Trade assets with high perceived value to guarantee market liquidity and physical movement.

Falling prices explicitly indicate a loss of perceived value, triggering massive seller volume.

Patience is the Ultimate Edge

The market is constantly moving; there is absolutely no need to chase a position.



Structural setups take time to form—the market severely punishes rushed entries.

Observe the structure, wait for the full pullback to finish, and execute without hesitation.

The Market Structure Diagnostic

UPTREND RULES	DOWNTREND RULES
AVOID: Higher Highs (Maximum Risk)	AVOID: Lower Lows (Maximum Risk)
EXECUTE: Higher Lows (The Reload)	EXECUTE: Lower Highs (The Reload)
DEMAND: 4H and 1H Bullish Match	DEMAND: 4H and 1H Bearish Match